# Case Study: UPI/Online Payment Fraud (The "Refund" Scam)

## What the Crime Is

UPI (Unified Payments Interface) fraud involves deceiving a victim into authorizing a digital transaction that transfers money from their bank account to the criminal's account. Unlike traditional hacking, this is primarily a **Social Engineering** crime where the attacker exploits the victim's lack of technical knowledge regarding how UPI "Request Money" features work.

## How it Typically Happens (Step-by-Step)

1. **The Hook:** The scammer scours online marketplaces (like OLX) or social media for people selling items or complaining about a delayed delivery or a failed bank transaction.
2. **The Contact:** The attacker calls the victim, posing as a helpful customer service executive or an interested buyer. They claim they need to "send" a refund or payment to the victim.
3. **The Deception:** Instead of sending money, the attacker sends a **"Collect Request"** via a UPI app (like Google Pay or PhonePe). They instruct the victim to click the notification and "confirm" the transaction to "receive" the funds.
4. **The Theft:** The victim, often in a hurry, enters their **UPI PIN**. Since a PIN is only required to *send* money, the act of entering it authorizes the transfer *out* of their account. The money is instantly moved to a mule account and withdrawn.

## Who is Usually Targeted

Targets often include elderly individuals unfamiliar with digital banking, students selling second-hand items, or small business owners who have recently started accepting digital payments.

## Consequences

The immediate consequence is the **financial loss**, which is often difficult to recover because the victim "authorized" the transaction. Beyond money, victims experience a severe **loss of trust** in digital systems and significant **emotional stress**. For students or low-income individuals, losing even a few thousand rupees can lead to immediate hardship